

Texas WIC Health and Human Services Commission

Effective July 1, 2026

Policy No. WV:01.1

WIC Farmers' Market Agreement/Policy Violations

Purpose

To describe state agency (SA) procedures for monitoring farmer and farmers' market (FM) associations compliance with the Special Supplemental Nutrition Program for Women, Infants and Children (WIC) Farmers' Market Agreement and policies, and to inform farmers and markets of violations and sanctions imposed by the SA for noncompliance.

Authority

7 CFR Part 246.12 and WIC Farmers' Market Agreement

Policy

Farmers and FM associations who fail to comply, either intentionally or unintentionally, with the WIC FM Agreement and/or, policies of the WIC Program will be sanctioned. The SA and/or representatives of the SA will document the circumstances of noncompliance. Sanctions will be imposed consistently among farmers and FM associations. The farmer must reapply for authorization after the disqualification period is over. In all cases, the farmers/FM associations' new application will be subject to the SA vendor selection criteria and any vendor limiting criteria in effect at the time of authorization.

Procedures

- I. The SA and/or SA representative will monitor the operations of authorized farmers and FM associations transacting WIC Electronic Benefits Transfer (EBT) cash value benefits for fresh fruits and vegetables.
 - A. Monitoring activities may include, but are not limited to:
 1. Routine monitoring visits by representatives of the SA.
 2. Covert compliance buys by representatives of the SA.

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3. On-site inspections by a city, county, district or state health authority.
- B. Criteria used by the SA and/or SA representative to initiate a routine monitoring visit or compliance buy may include, but are not limited to:
 1. Price differences identified or observations made from a prior monitoring visit.
 2. Complaints from a WIC agency, participant, or farmer.
 3. Prior violations.
 4. High volume of WIC cash value redemptions.
 5. Period of time elapsed since last review.
 6. The first year of WIC operation and annually thereafter.
- C. Noncompliance with the WIC Farmers Market Agreement and/or policies of the WIC program will be sanctioned. Sanctionable violations include, but are not limited to:
 1. One or more WIC transactions of unauthorized/ ineligible food items, non-food items, overcharges, and/or cash.
 2. Submitting one or more WIC EBT transactions for payment through a different farmers' market location than where the WIC EBT transaction(s) was originally transacted.
 3. Transacting one or more WIC transactions at an unauthorized location.
 4. Transacting one or more WIC transactions outside the valid benefit period.
 5. Entering the WIC EBT recipient's PIN and/or accepting the WIC EBT purchase transaction on behalf of the WIC EBT recipient.
- II. FM Associations will be notified in writing of the results within 60 calendar days of the date of the routine monitoring visit and/or

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compliance buy and, if appropriate, applicable sanctions. FM associations are responsible for notifying individual farmers within their association of the results of the on-site review and/or compliance buy, any sanctions levied as a result of noted violations, and the effective dates of any sanctions.

- III. After a warning is issued to a farmer or FM association relating to sanctionable violations noted during a monitoring activity, follow-up visits may occur during the same FM Agreement period, but will not occur sooner than 30 calendar days after the FM association receives written notification of the violation. An investigation may be closed if two monitoring activities are conducted with no sanctionable violations.

IV. Monitoring by Routine Monitoring Visit

A routine monitoring visit may be conducted by the SA or a SA representative.

- A. During the routine monitoring visit, the SA or SA representative will identify him/herself to farmers and assess the following:
1. Check to see if the farmer identification poster is displayed and contains all required identifying information.
 2. Verify that prices are posted for eligible items.
 3. Review quality and quantity of produce.
 4. Question farmers to determine their knowledge of WIC policies and procedures and provide technical assistance if the farmers' responses indicate they do not understand the WIC policies and procedures.
 5. Other violations of policies and the FM Agreement may be tested by the SA representative.

V. Monitoring by Compliance Buys

A compliance buy is a covert, on-site investigation in which a representative from the SA poses as a WIC recipient and transacts one

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or more WIC transactions to test for compliance with the WIC Farmers' Market Agreement, policies, and/or procedures. The compliance buy may occur on more than one day and consist of one or more transactions.

- A. A SA representative may attempt to transact WIC food benefits for authorized or unauthorized food items, non-food items, credit (including rain checks which are not allowable), and/or cash back.
- B. Transactions will not be paid if:
 - 1. WIC food benefits are transacted for unauthorized food items that involve overcharges, or include any form of cash exchange.
 - 2. The FM association representative enters the WIC EBT recipient's PIN and/or accepts the WIC EBT purchase transaction on behalf of the WIC EBT recipient.

VI. Monitoring by On-Site Inspections by a Health Authority

The farmers' market may receive an on-site inspection by a public health authority for compliance with the Health and Safety Code. Violations may result in disqualification from the WIC Program in addition to any other penalties as a result of non-compliance with the Health and Safety Code.

VII. Violations and sanctions.

A violation is any intentional or unintentional action of a farmer, FM association, or employees (with or without the knowledge of the farmer) that violates the WIC FM Agreement, and/or policies of the WIC Program. Notification to the farmer will be provided through the FM association of which the farmer is a member.

- A. The SA will apply the following sanctions for selling unauthorized/ineligible food in exchange for one or more WIC transactions.
 - 1. The first occurrence will result in a written warning to the farmer.

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2. The second occurrence will result in the disqualification of the farmer for one year and a written warning to the FM association.
 3. If a FM association receives at least two written notifications within the same investigation where two or more farmers within the same FM Association have been disqualified for selling unauthorized food, the FM association will be disqualified for one year.
- B. The SA will apply the following sanctions for accepting one or more WIC transactions for food purchased from outside the continental United States or from a retail grocer or wholesaler.
1. The first occurrence will result in a written warning to the farmer and the FM association.
 2. The second occurrence will result in the disqualification of the farmer for one month and a second written warning to the FM association.
 3. An FM association receiving three written warnings within the same investigation where one or more farmers within the FM association sell food purchased outside the continental United States and/or from a retail grocer, wholesaler, and/or terminal will result in the disqualification of the FM association for one year.
- C. The SA will apply the following sanctions for selling firearms, ammunition, explosives, or controlled substances as defined in 21 U.S.C. 802, in exchange for one or more WIC transactions.
1. Upon notification to the FM association, the farmer will be immediately disqualified from participating in the WIC Program for six years, and a written warning will be issued to the FM association.
 2. An FM association receiving two written notifications within the same investigation where two or more farmers within the FM

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association sell firearms, ammunition, explosives, or controlled substances will result in the disqualification of the FM association for six years.

- D. The SA will apply the following sanction for conducting one or more WIC transactions at an unauthorized location and submitting the transaction(s) for payment through an authorized location. Upon notification to the FM association, the farmer will be immediately disqualified from participating in the WIC Program for three years.
- E. The SA will apply the following sanctions for overcharging on one or more WIC transactions during a compliance buy.
 - 1. The first occurrence will result in a written warning to the farmer.
 - 2. The second occurrence will result in the disqualification of the farmer from participating in the WIC Program for three years.
- F. The SA will apply the following sanctions for providing cash in exchange for one or more WIC transactions.
 - 1. Upon notification to the FM association, the farmer will be immediately disqualified from participating in the WIC Program for six years, and a written warning will be issued to the FM association.
 - 2. An association receiving two written notifications within the same investigation where two or more farmers within the FM association provide cash for WIC transactions will result in the disqualification of the FM association for six years.
- G. The SA will apply the following sanctions for selling non-food items in exchange for one or more WIC transactions.
 - 1. Upon notification to the FM association, the farmer will be immediately disqualified from participating in the WIC Program for three years, and a written warning will be issued to the FM association.

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2. An FM association receiving three written warnings within the same investigation, where three or more farmers with the FM association issue non-food items, will result in the disqualification of the FM association for three years.
- H. The SA will apply the following sanctions for failing to display prices of eligible food items.
1. The first occurrence will result in a written warning to the farmer.
 2. If the same farmer fails to display prices a second time during the same investigation, the farmer will be disqualified for one month, and a written warning will be issued to the FM association.
 3. An FM association receiving three written warnings where three or more farmers within the FM association fail to display prices of eligible food items will result in the disqualification of the FM association for one month.
- I. The SA will apply the following sanctions for entering the WIC EBT recipient's PIN and/or accepting the WIC EBT purchase transaction in lieu of the WIC EBT recipient; the WIC EBT transaction will not be paid.
1. The first occurrence will result in a written warning to the FM association.
 2. An FM association receiving three written warnings within the same investigation where the FM association representative(s) enters the WIC recipient's PIN and/or accept the WIC EBT purchase transaction on behalf of the WIC EBT recipient will result in the disqualification of the FM association for one month.
- J. The SA will apply the following sanctions for failing to display the WIC EBT ID Poster with all required identifying information.

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1. The first occurrence will result in a written warning to the farmer.
2. The second occurrence will result in the disqualification of the farmer for one month, and a written warning will be issued to the FM association.

VIII. A farmer will be disqualified from accepting WIC transactions at all authorized market locations for a violation resulting in disqualification at any given market. At the discretion of the SA, one market location may be disqualified without affecting the participation of other authorized market locations within an FM association.

IX. Farmers/FM associations are not permitted to use the acronym "WIC" in their official business name or any other business name under which they operate. Farmers/FM associations are also not permitted to use the WIC acronym in a manner that states or implies affiliation with, or sponsorship by, the SA, USDA, or the WIC program. Any other use of the acronym "WIC" or the phrase "WIC Accepted Here", including on social media or websites, is prohibited. Farmers/FM associations' use of the WIC acronym and logo is authorized only on state issued posters or signs. Farmers/FM associations are not permitted to use the WIC acronym or the WIC logo on other signs, pamphlets, posters or brochures. For violations pertaining to the use of the acronym "WIC" or the WIC logo, the SA or SA representative will:

- A. Issue a written warning to the farmer/FM association as provided in Section II of this policy.
- B. The second occurrence of the same violation will result in disqualification of the farmer for one month and a written warning will be issued to the FM association. The notification to the farmer will be provided through the FM association of which the farmer is a member.
- C. An association receiving three written warnings within the same investigation where three or more farmers with the FM association

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and/or the association use the WIC acronym or logo, will result in the disqualification of the FM association for one month.

X. Disqualification

- A. Once noncompliance is identified, disqualification can be imposed at the SA discretion in any agreement period following notification to the farmer and/or FM association.
- B. Disqualification from the Supplemental Nutrition Assistance Program (SNAP) will result in an automatic disqualification of the same duration from the WIC Program. However, the effective date of disqualification from the WIC Program is at the SA's discretion.
- C. Disqualification from the WIC Program may result in disqualification as a retailer in SNAP. Such disqualification may not be subject to administrative or judicial review under SNAP.
- D. A farmer or FM association being disqualified will be given at least 20 calendar days prior notice before the disqualification becomes effective. The date of notice will be the date determined using the methodology described in Section II of this policy. The notification to the farmer will be provided through the FM association of which the farmer is a member.
- E. An FM association that has been disqualified may reapply to participate in the program at the end of the disqualification period.
- F. Any actions instituted against a farmer or FM association as described in this policy will be considered before renewing a contract with the FM association and may be used as criteria in determining whether the farmer or FM association is eligible to renew their contract.
- G. The State, as well as officers, agents, and employees of the State, are not responsible for losses incurred by the farmer/market as a result of denial of application to participate, disqualification, and/or expiration of the WIC Farmers' Market Agreement.